

More rooms for affordable homes

Affordable housing is **steadily** declining in terms of market share, which may **call for** policy support. Although the **inventory** of unsold housing stock in this segment is declining, the **pace** is not **inspiring**. This is **reflective** of post-Covid consumption pattern that favours **premiumisation**. Luxury houses and cars have **fuelled** this consumption growth, but it is **unsustainable** if sales of small homes and cars do not move into the fast lane. Housing developers are **wary of** the affordable segment, **citing** rising costs and **thinning margins**. Yet the segment is **vital to** the housing market, and there is a need to **address** market **imperfections** that have **crept in**.

Since **real wage** growth is weak, demand is not growing fast enough to **absorb** the **existing** unsold affordable housing inventory. The supply response is weak and will continue to remain if inventory does not clear. **A quick fix** would be to redefine affordability to **draw in** both buyers and sellers. A **benchmark** for affordability **could** be income instead of an absolute price. Purchase and construction support thus become **dynamic**, and it is easier for the market to clear. But this does not **address** the fundamental issue of land prices **outpacing** incomes.



A **cap** on affordable house prices **can** work only if the price of the principal input-land-is **capped** as well. **Incentives** to raise demand and supply **are** mainly **directed at** income and construction costs. Yet the main issue remains **unaddressed: keeping** land value **in check** through higher supply. State governments have a critical role here and must become more **proactive** in clearing the market for affordable housing. India has an expensive property market relative to the level of its **urbanisation**. The affordable segment is the most sensitive to prices but also has **enormous** economic and labour **linkages**. **Creating** the **requisite** affordable housing stock at prices that sell **may** need a rethink about the nature of government **intervention**. [Practice Exercise]

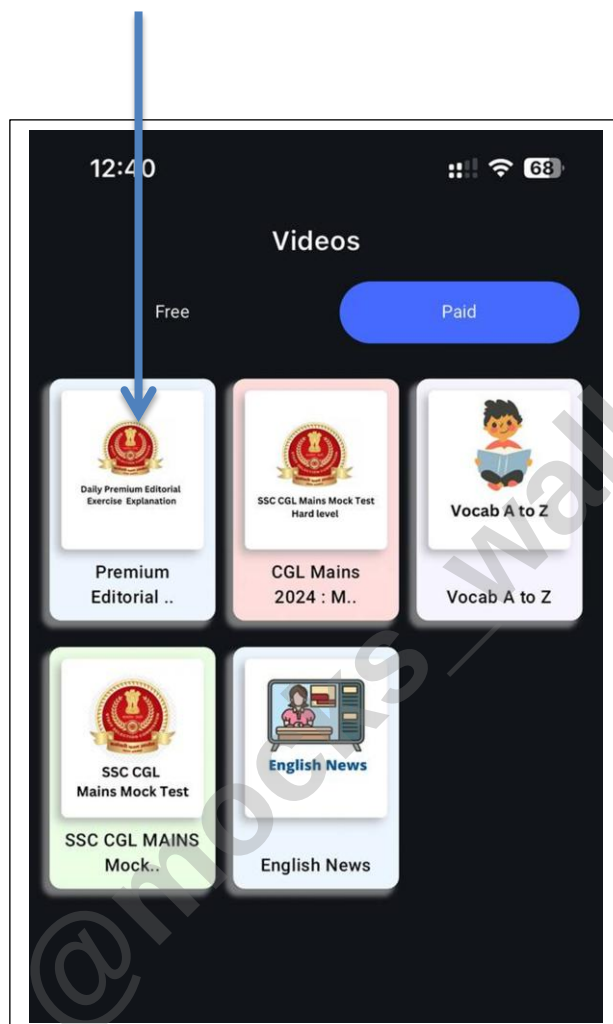
- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Room** (noun) – space, capacity, scope, leeway, opportunity गुंजाइश
2. **Affordable** (adjective) – reasonable, economical, low-cost, budget-friendly, within reach किफायती
3. **Steadily** (adverb) – gradually, consistently, continuously, reliably, progressively लगातार
4. **In terms of** (phrase) – regarding, concerning, with respect to, related to, in relation to के संदर्भ में
5. **Call for** (phrasal verb) – require, demand, necessitate, request, urge मांग करना
6. **Inventory** (noun) – stock, supply, list, catalogue, reserve भंडार
7. **Pace** (noun) – speed, rate, tempo, momentum, rhythm गति
8. **Inspiring** (adjective) – motivating, encouraging, uplifting, rousing, stimulating प्रेरणादायक
9. **Reflective** (adjective) – indicative, suggestive, thoughtful, pensive, demonstrating प्रतिबिंबित करने वाला
10. **Premiumisation** (noun) – the action or process of attempting to make a brand or product appeal to consumers by emphasizing its superior quality and exclusivity. उच्च श्रेणीकरण
11. **Fuel** (verb) – drive, power, stimulate, boost, ignite बढ़ावा देना
12. **Unsustainable** (adjective) – unviable, unstable, impractical, untenable, unfeasible अस्थिर
13. **Wary** (of) (adjective) – cautious, careful, hesitant, suspicious, circumspect सतर्क
14. **Cite** (verb) – mention, refer to, quote, bring up, state हवाला देना
15. **Thin** (verb) – reduce, decrease, narrow, lessen, shrink कम करना
16. **Margin** (noun) – profit, edge, leeway, difference, cushion लाभान्श
17. **Vital** (to) (adjective) – crucial, essential, important, necessary, indispensable अत्यंत आवश्यक
18. **Address** (verb) – deal with, tackle, handle, confront, resolve समाधान करना
19. **Imperfection** (noun) – flaw, defect, shortcoming, blemish, fault खामी / दोष
20. **Creep in** (phrasal verb) – slip in, infiltrate, sneak in, enter gradually, emerge धीरे-धीरे प्रवेश करना
21. **Real wage** (noun) – the amount a person earns in exchange for their labor, adjusted for the effects of inflation, effectively

- showing the actual purchasing power of that income.
22. **Absorb** (verb) – take in, consume, soak up, accommodate, assimilate अवशोषित करना
23. **Existing** (adjective) – current, present, available, already present, prevailing मौजूदा
24. **A quick fix** (phrase) – temporary solution, easy solution, shortcut, band-aid, stopgap तात्कालिक हल
25. **Draw in** (phrasal verb) – attract, involve, engage, bring in, lure आकर्षित करना
26. **Benchmark** (noun) – standard, reference point, criterion, measure, yardstick मापदंड
27. **Dynamic** (adjective) – flexible, adaptable, energetic, evolving, changing गतिशील
28. **Address** (verb) – (repeated) – deal with, respond to, focus on, resolve समाधान करना
29. **Outpace** (verb) – surpass, exceed, overtake, outstrip, outdo अधिक तेज़ी से बढ़ना
30. **Cap** (noun) – limit, ceiling, maximum, restriction, threshold सीमा
31. **Cap** (verb) – limit, restrict, curb, set a maximum, control सीमित करना
32. **Direct** (at) (verb) – aim, target, focus, channel, allocate निर्देशित करना
33. **Unaddressed** (adjective) – unresolved, ignored, unattended, neglected, overlooked अनसुलझा
34. **Keep in check** (phrase) – control, restrain, regulate, hold back, contain नियंत्रण में रखना
35. **Proactive** (adjective) – forward-thinking, anticipatory, preemptive, energetic, dynamic सक्रिय
36. **Urbanisation** (noun) – city development, urban growth, metropolitan expansion, town planning, modernization शहरीकरण
37. **Enormous** (adjective) – huge, vast, massive, immense, tremendous विशाल
38. **Linkage** (noun) – connection, association, relationship, bond, correlation जुड़ाव / संबंध
39. **Requisite** (adjective) – necessary, essential, required, compulsory, needed आवश्यक
40. **Intervention** (noun) – involvement, interference, action, mediation, interference दखल

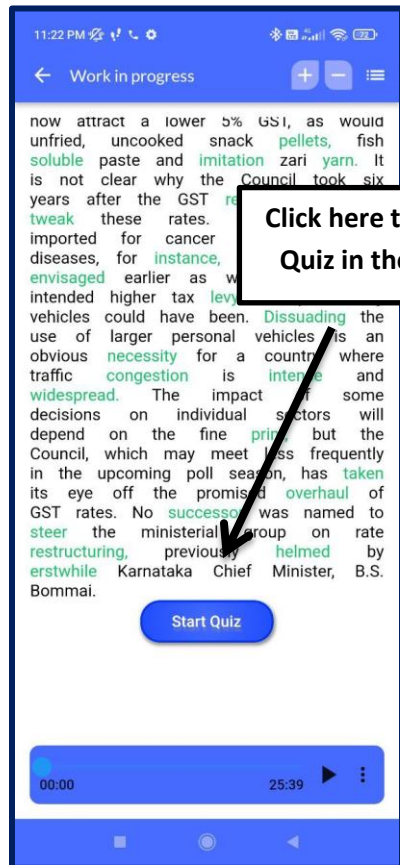
Video solution of Practice Exercise from this Editorial is exclusively available on App.



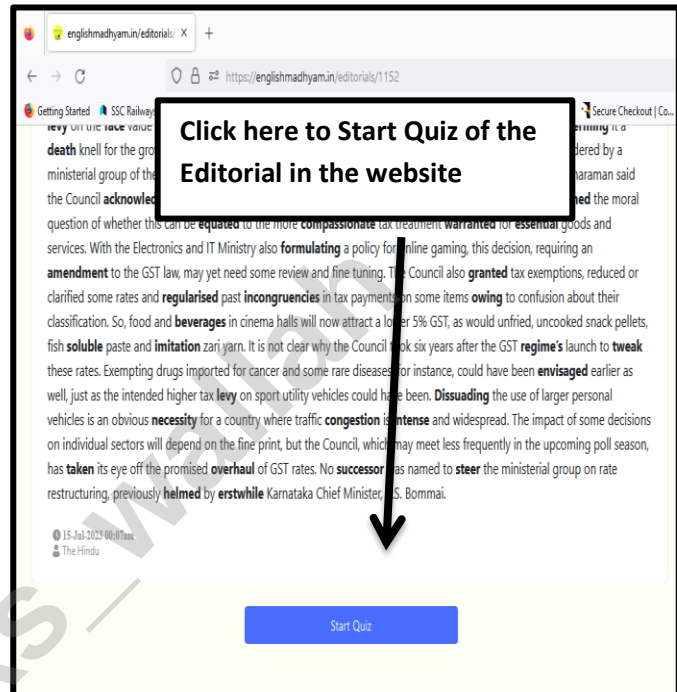
Summary of the Editorial

1. **Affordable housing's market share is steadily declining**, despite a gradual reduction in unsold inventory.
2. The **slow pace of clearance** reflects a **post-COVID consumer trend** favouring luxury goods and homes.
3. **Luxury segments are booming**, but this growth is **unsustainable** without a revival in **affordable home sales**.
4. **Developers are hesitant** to invest in the affordable housing segment due to **rising input costs and low margins**.
5. The **affordable housing segment remains vital**, with a need to correct **market imperfections** affecting it.
6. **Weak real wage growth** is suppressing demand, making it difficult to clear existing affordable housing inventory.
7. Without faster sales, **new supply remains limited**, creating a **vicious cycle** of stagnation in the segment.
8. A possible solution is to **redefine "affordability" based on income** rather than a fixed price level.
9. This **dynamic definition** could better match buyer capacity and developer interests.
10. However, this approach does **not address the core issue: skyrocketing land prices**.
11. A cap on house prices is ineffective **unless land prices are also controlled**, which is rarely the case.
12. Current policy incentives focus on **construction subsidies and buyer income, ignoring land cost escalation**.
13. **State governments need to step up**, especially in managing **land supply** to make affordable housing viable.
14. India's **property market is overpriced**, especially considering the country's **low urbanisation levels**.
15. A **re-evaluation of government intervention** is necessary to make affordable housing both **available and sellable**, given its strong **economic and employment potential**.

Practice Exercise: SSC Pattern Based



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